



Meta's Acquisition Offer for Furiosa AI

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FCRC Spring 2025, Team Albatross
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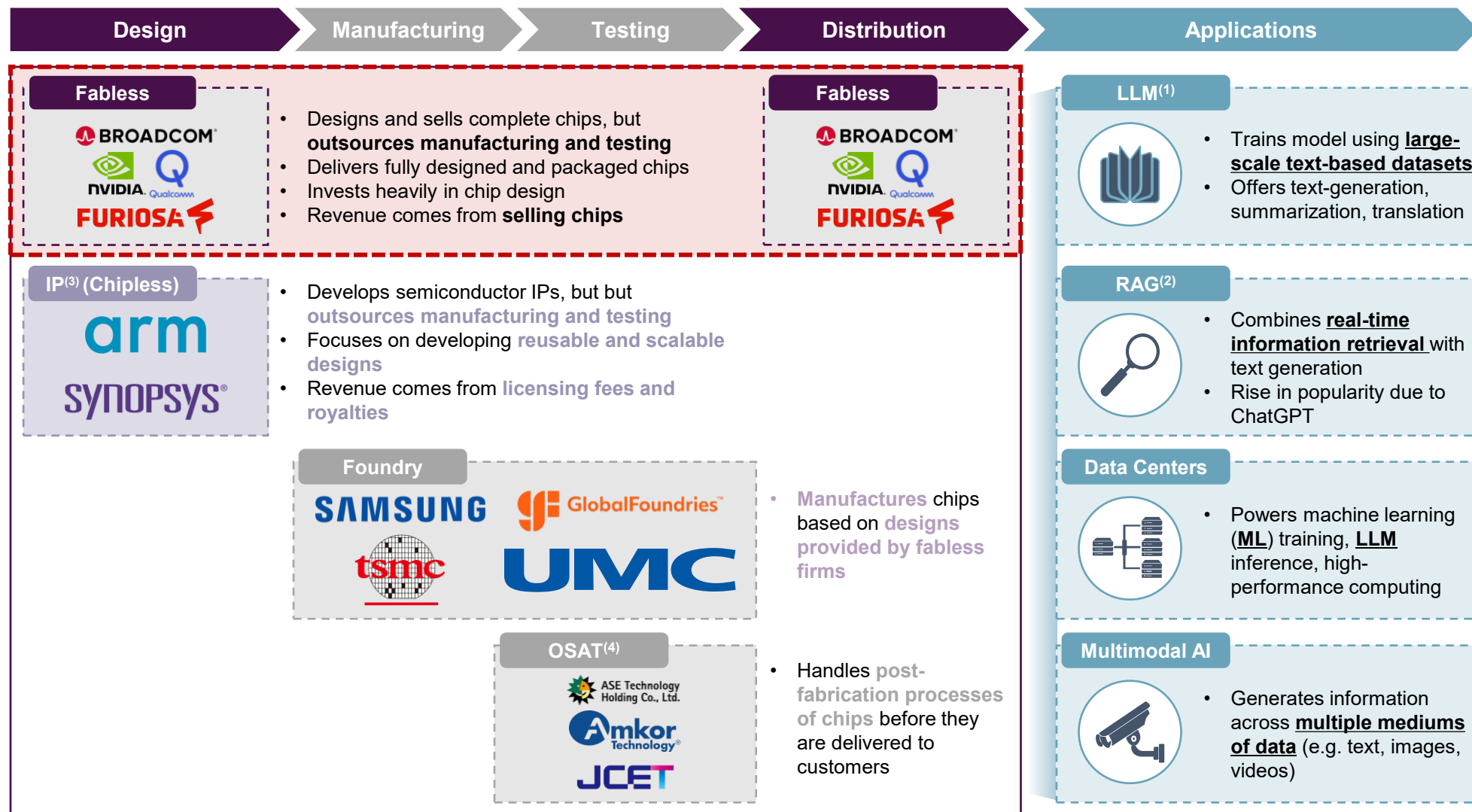
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I. Industry Overview

1. Semiconductor Industry Value Chain
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Semiconductor Industry Value Chain

Fabless semiconductor firms design and distribute, but does not manufacture or test semiconductors within the value chain of the AI semiconductor industry

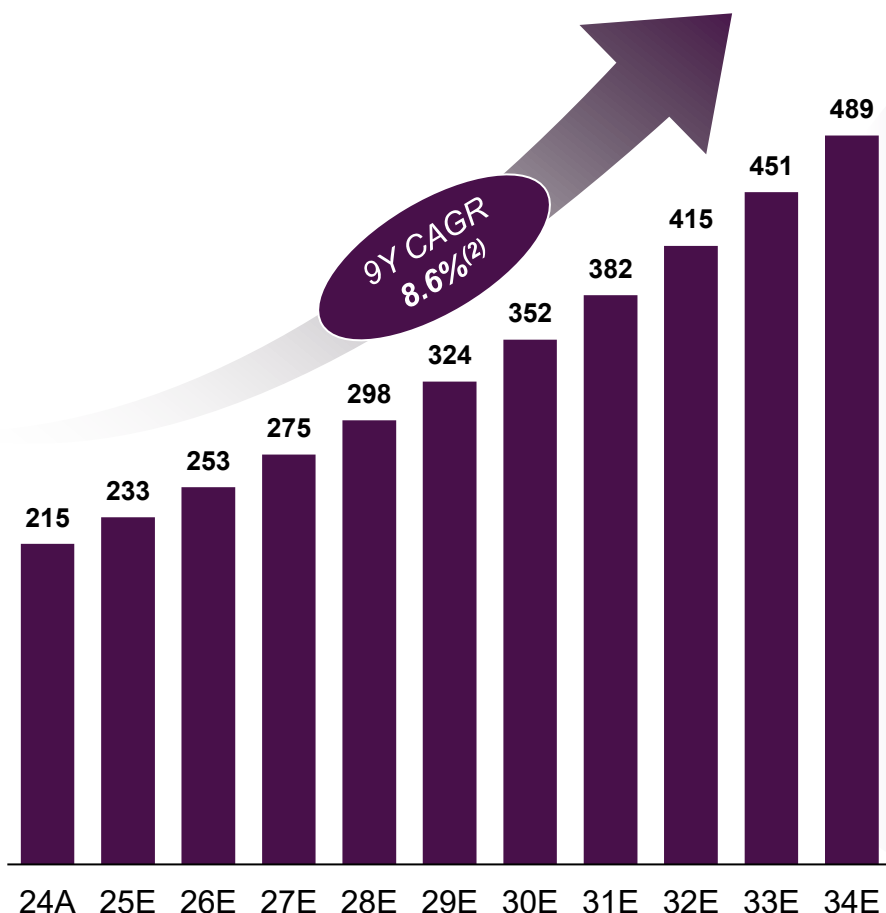


Recent Industry Trends & Growth Drivers

The fabless semiconductor industry is projected to reach USD489bn by 2034, driven by digital transformation, AI-driven advanced chip demand, and advantages of the fabless business model

Global fabless semiconductor industry market size⁽¹⁾

(USDbn)



Growth drivers

1 Digital transformation involving consumer electronics



- Widespread penetration of **smartphones and computers** require **advanced, energy-efficient** semiconductors



- Continuous advancements in technology require **sophisticated chip designs that rapidly implement changes** in market needs

2 Escalating demand for advanced semiconductor solutions



- Generative AI chatbots** like ChatGPT rapidly gained popularity, boosting demand for specialized semiconductors



- Fabless semiconductor firms design custom **chips specialized for AI purposes**, making fabless firms directly benefit from the growth of AI

3 Fabless business model allows focus on design at low costs



- Fabless companies **avoid costly investments** in fabrication facilities by **outsourcing** manufacturing and testing to third-parties



- Fabless can **scale operations rapidly** by offering a **wide variety of products**, making companies **less subject to cyclicity**

II. Company Overview

1. Company Snapshot
2. Business Overview
3. Meta Deal Overview

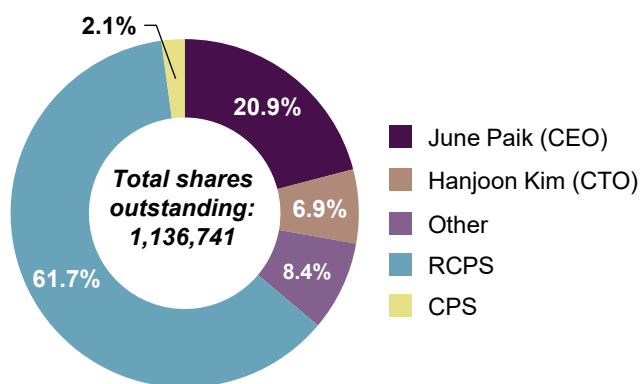
Company Snapshot

Furiosa AI offers cutting-edge AI semiconductor solutions, leveraging its custom-designed hardware and innovative AI accelerators to drive efficiency and scalability in large-scale AI applications

Company profile

- Founded in 2017 by CEO June Paik, a former GPU engineer at AMD, Furiosa AI has initiated its business in the **fabless AI semiconductor industry**
- The fabless business model allows Furiosa AI to focus on engineering and designing semiconductors while outsourcing manufacturing
- In **2021**, Furiosa AI introduced its **Gen 1 Vision NPU⁽¹⁾ WARBOY**, a high-performance data center accelerator, for advanced **computer vision deployment**
- In **August 2024**, Furiosa AI launched its **Gen 2 data center accelerator, RNGD**, designed for **AI inference in LLMs** with broad deployment potential and superior power efficiency over competitors
- In **February 2025**, reports indicate that **Meta Platforms Inc.** was in talks to **acquire Furiosa AI** aiming to enhance its AI hardware infrastructure

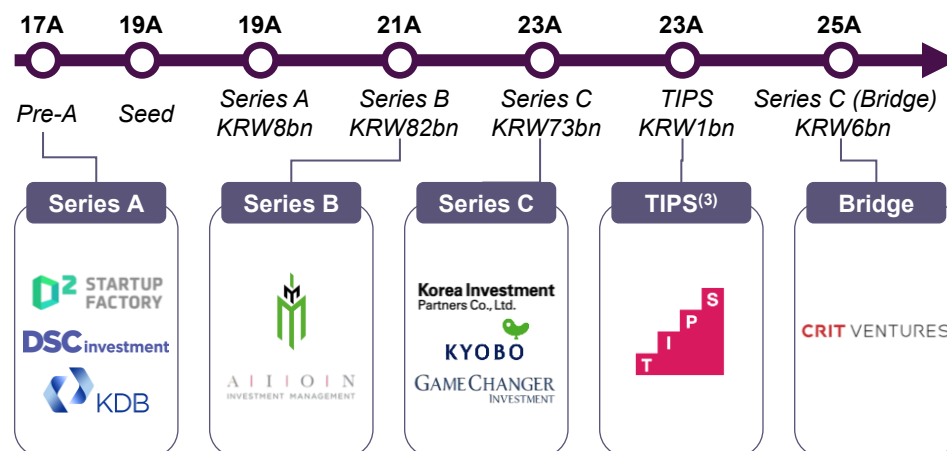
Shareholding structure⁽²⁾



Key financials

(KRWmn)	21A	22A	23A
Revenue	-	310	3,622
<i>Growth (%)</i>	-	-	1068.8%
Gross Profit	-	103	2,157
<i>Margin (%)</i>	n/a	33.4%	59.5%
EBITDA	(13,720)	(49,745)	(59,689)
<i>Margin (%)</i>	n/a	(16050.9%)	(1647.8%)
EBIT	(14,303)	(50,135)	(60,094)
<i>Margin (%)</i>	n/a	(16176.7%)	(1659.0%)
Net Income	(15,352)	(51,203)	(63,739)
<i>Margin (%)</i>	n/a	(16521.5%)	(1759.6%)
Total Assets	75,478	36,063	43,491
Total Liabilities	9,460	17,768	18,090
Net Debt	(62,304)	(17,586)	(12,801)

Timeline of capital raising



Business Overview

Furiosa AI's NPUs, WARBOY and RNGD, enable AI vision and inference at lower cost and energy use than competitors, with software solutions that broaden their versatility

Product lineup

1

WARBOY: Gen I vision NPU



- High-performance data center accelerator
- Optimized for advanced computer vision



- Uses include enhancing photo/video resolution, detecting objects, classifying images



- Available for deployment on cloud and edge-computing

2

RNGD: Gen II data center accelerator



- NPU optimized for AI inference in data centers



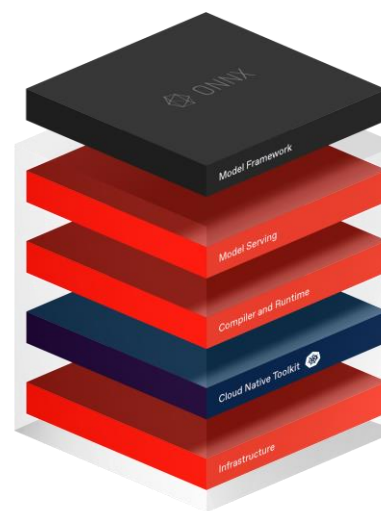
- Delivers high-performance LLM and multimodal deployment capabilities
- Radically efficient 180W power profile



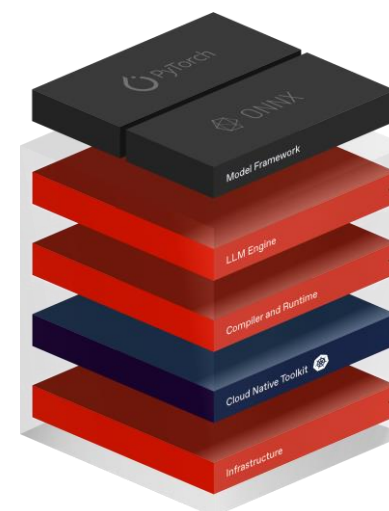
- Available for enterprise and cloud computing

Programmability of Furiosa AI's software stack

Software stack of WARBOY



Software stack of RNGD

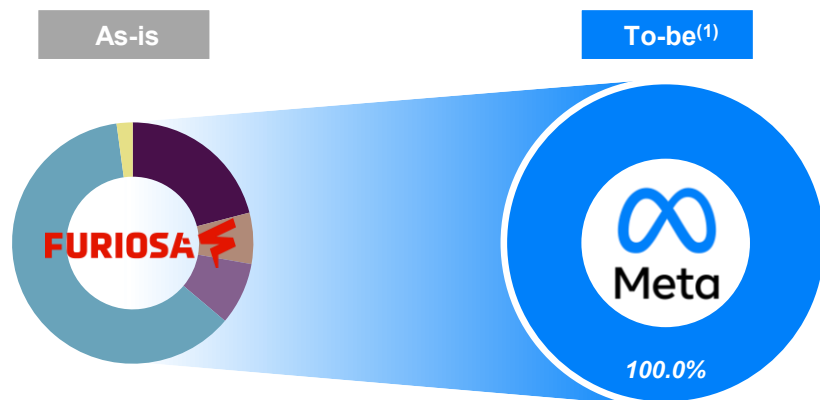


- Conventional AI semiconductor firms **do not openly disclose details** regarding their software stack; the collection of software that supports an application
- Furiosa AI provides a **complete software package** that makes gives its product **high programmability**, making it optimized for AI Inference
- Compatible with common AI frameworks and data formats, making it **simple for developers to integrate Furiosa AI** into their existing projects
- Furiosa AI **works cohesively with popular AI tools** such as PyTorch, allowing developers to easily integrate and deploy models in their existing systems

Meta Deal Overview

Meta Corp. Inc. offered KRW1,200bn in 2025 to acquire Furiosa AI, seeking vertical integration to expand its AI capabilities and cut costs incurred from large-scale purchases of semiconductors from the third-party

Deal structure



Share acquisition	100.0%	
Entry valuation	KRW1,200bn	
Implied enterprise value	KRW1,187bn	
Multiple ⁽²⁾	EV/Sales	327.7x
	EV/(R&D)	122.1x
	EV/(Funding raised)	7.1x



Buy-side rationale

1 Faster in-house AI chip development through M&As

- MTIA⁽³⁾, Meta's internally-developed AI semiconductor, **has constantly fallen short** of performance expectations
- Meta has **committed to further investments in AI**, including developing chips, research, and constructing data centers

2 Lower dependence on third parties, improving cost control

- NVIDIA is estimated to **control between 70%~95% of chips** used in training AI models
- In light of **DeepSeek's success** despite **using non-flagship chips**, Meta aims to **reduce its reliance on NVIDIA** by investing in its own AI chips and exploring more **cost-efficient options**

Sell-side rationale

1 Attractive exit driven by sustained capital needs

- Fabless firms face **continuous funding needs** to fund its R&D
- The **Korean market is limited** in terms of its scale, making Meta's offer an attractive option for **expanding funding avenues** through improved global recognition

2 Expansion of strategic partners across the global value chain

- **Large-scale purchases** of semiconductors from corporate clients headquartered in the US are likely to **greatly improve operational cash flow**, a crucial area of improvement for Furiosa AI
- **Global recognition is crucial** to bolster Furiosa AI's position as a pioneer in the fabless industry

III. Investment Highlight

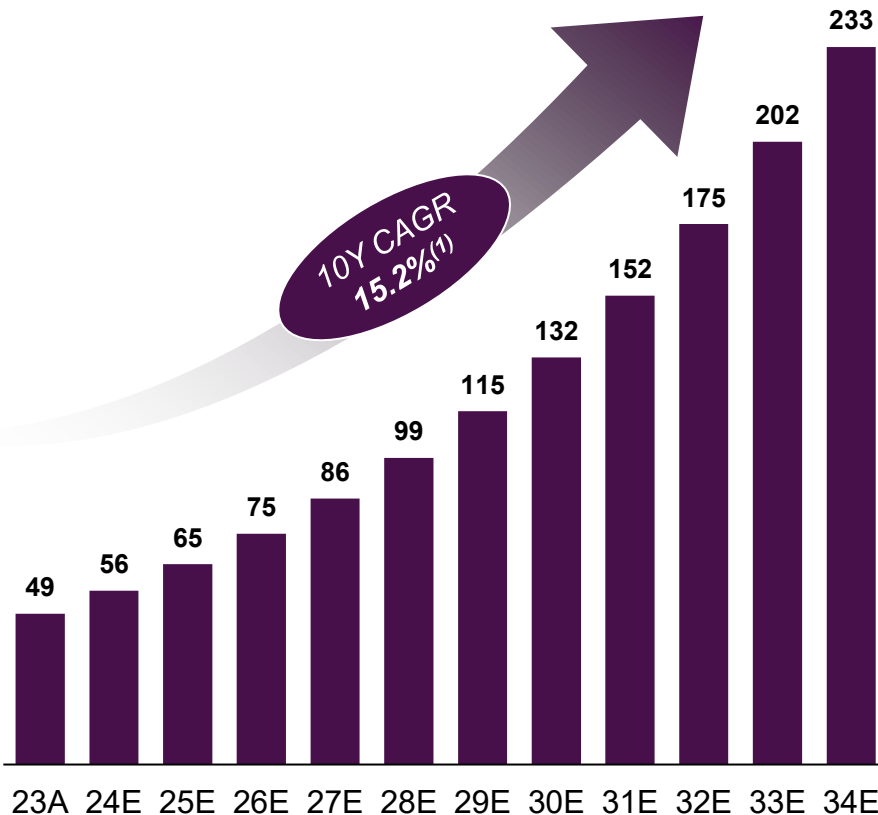
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Strong Institutional Support in a High-Growth Industry

The rapidly-growing Korean fabless AI semiconductor industry capitalizes on its geographical advantage and robust supply chain, further leveraged by growing institutional support

Market size trend of artificial intelligence semiconductors

(USDbn)



The AI semiconductor industry's growth is driven by the **rising demand for specialized hardware** to support NLP⁽²⁾, ML⁽³⁾, and AI inference; all of which requiring high-performance accelerators and processors

Growth factors of the domestic AI fabless industry

1 Robust supply chain made possible by nearby foundries

Foundry

Headquarters

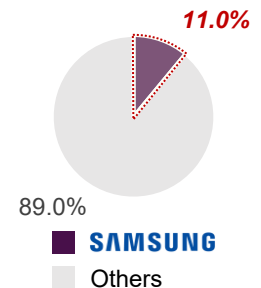
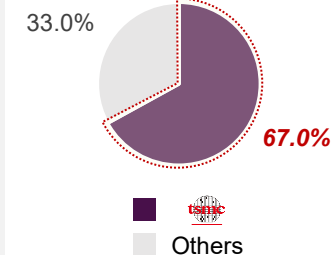
Global foundry market share⁽⁴⁾



Hsinchu, Taiwan

SAMSUNG

Gyeonggi-do, Korea



Furiosa AI's **proximity to a sound semiconductor ecosystem** enable a robust supply chain that **streamlines logistics, reduces costs, and ensures a stable manufacturing process** to meet global demand

2 Growing institutional support for the fabless industry

KRW30trn

Allocated over the next 5 years to R&D

24.0%

R&D budget for 25A is KRW3.4trn, a **24.0% increase** vs. 24A

Government **initiatives are vital** in alleviating the substantial early-stage R&D, enabling early-stage fabless firms to **scale efficiently and competitively**

Furiosa AI's with versatile, cost-effective products with proven production-ready status further bolster its distinctive position within the domestic fabless semiconductor industry

Growth in demand for versatile, cost-effective AI chips

Fabless	FURIOSA	NVIDIA	rebellions_
Headquarters			
Mass production	✓	✓	✓
AI vision capability	✓	✓	✗
Cost-effectiveness	✓	✗	✓

ONLY fabless firm with cost-effective, versatile AI solutions



- DeepSeek-R1's success spiked interest in fabless firms like Furiosa AI, whose **power-efficient chips** appeal to **cost-conscious corporate clients**



- Furiosa AI's advanced features extend beyond LLMs, enabling **seamless integration across AI platforms** and faster market adoption



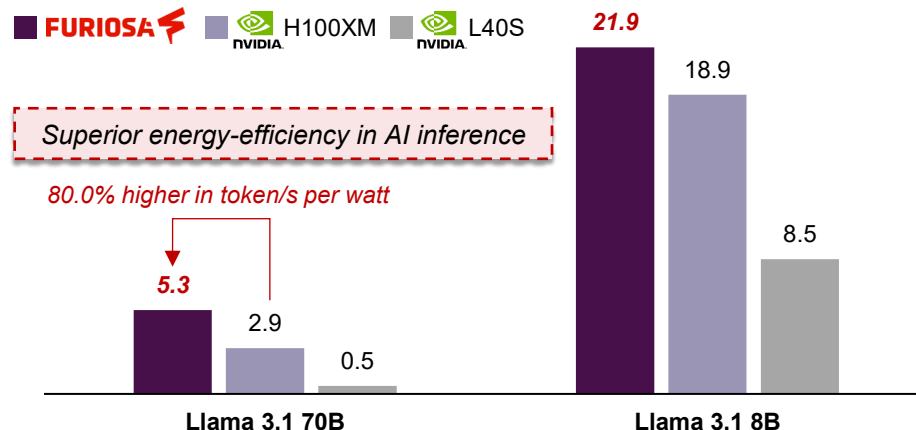
- Versatility enables chips to support evolving AI models and applications, **extending their lifecycle and maintaining competitiveness** in a fast-changing market.



*Furiosa AI's versatile chips drive **broad adoption, resilient demand, and future-proof innovation**; all of which serving to strengthen Furiosa AI's competitive edge*

Details of RNGD's LLM inference capabilities

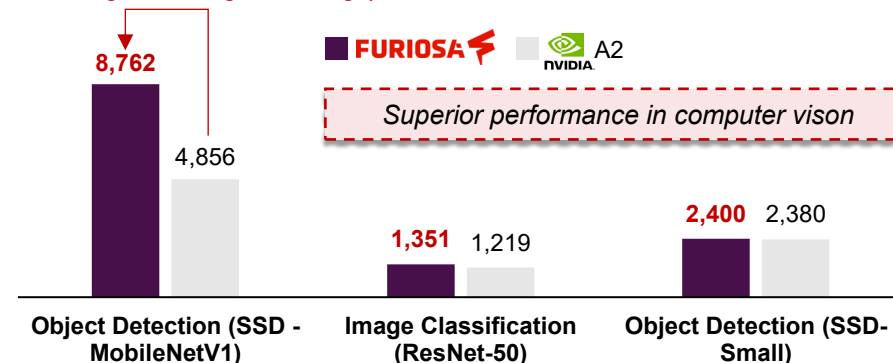
(token/s/W)



Details of WARBOY's MLPerf computer vision capabilities

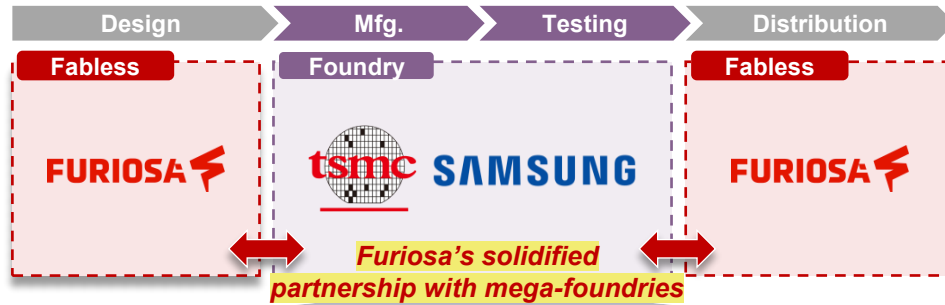
(images-per-second throughput)

80.4% higher in images/s throughput



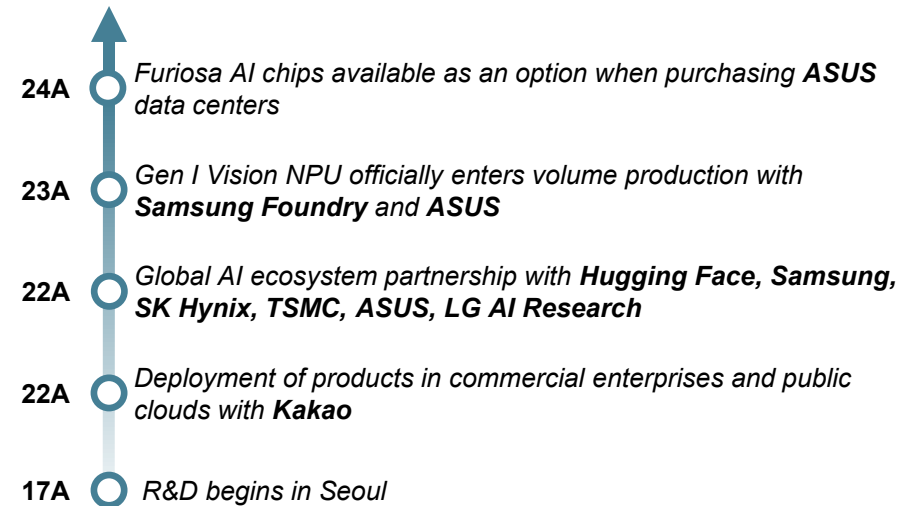
Furiosa AI is driven for success by its ongoing vast strategic partnership network along the semiconductor value-chain

Strong foundry partnerships paving the way for growth



Foundry		SAMSUNG
Headquarters	 Hsinchu, Taiwan	 Gyeonggi-do, Korea
Partnership history		Furiosa AI used Samsung's 14nm process to produce WARBOY, the first mass-produced product for Furiosa AI
		- Furiosa AI used TSMC's 5nm process to product RNGD - RNGD-S, RNGD-MAX expected to launch and enter production in 2025

Rich experience of strategic partnerships



Past and ongoing strategic partnerships



Furiosa AI's strong strategic partnerships across the value chain enhance investment appeal by ensuring supply stability, securing top-tier tech access, and accelerating time-to-market



Finance Case Research Club
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